



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL
General Certificate Of Education Advanced Level

BUSINESS STUDIES
PAPER 2

6025/2
3 hours

SPECIMEN PAPER

Additional materials:
Answer booklet
Calculator (Optional)

INSTRUCTIONS TO CANDIDATES

Write your name, centre number and candidate number in the spaces provided on the answer booklet.

Answer **all** questions in Section A and any **three** from Section B.

Write your answers on the separate answer booklet provided.

If you use more than one booklet, fasten them together.

INFORMATION FOR CANDIDATES

The number of marks is given in brackets [] at the end of each question or part question.

The businesses described in this paper are intended to be fictitious.

This specimen paper consists of 3 printed pages.

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[Turn over

Section A: Data Response [25 marks]

Answer any **three** questions in this section.

1. Read the passage below and answer the questions that follow.

ABC ENTERPRISE

ABC Enterprise is a partnership business owned by Ayanda, Ben and Caro, providing catering services. The business is located in the busy township of Katanga in Norton. Its non-current assets include an industrial stove, Isuzu D Max truck and a freezer. The business was operating successfully providing the best catering services in the area. As a result, it managed to withstand competition from other businesses.

Due to economic hardships and changes in the business operations, ABC enterprise lost its viability. The enterprise's expenses were exceeding its Income. The demand for catering services decreased coupled with a rise in stock holding costs.

The partners agreed to dissolve the business and engage an accountant to help them manage the disposal of assets so that they distribute profit accordingly.

The following information of Non-Current Assets was provided.

Asset	Cost \$	Estimated Residual values \$	Life expectancy Number of years
ISUZU D MAX	40 000	10 000	3
Freezer	20 000	10 000	5
Industrial stove	10 000	1 000	3

- (a) Define the term non-current assets in the case study. [3]
- (b) (i) Calculate the annual depreciation for each asset. [3]
- (ii) Outline the benefits of depreciating non-current assets to ABC enterprise. [3]
- (c) Explain any **three** stock holding costs that ABC enterprise may be incurring. [6]
- (d) Evaluate the advantages of operating as a partnership business. [10]

Section B: Essays [75 marks]

Answer any **three** questions from this section.

2. (a) Justify the reasons for starting a business. [10]
 (b) Assess the significance of using Net Present Value (NPV) as an investment appraisal technique. [15]
3. (a) Explain the benefits of producing a business plan to a new business. [10]
 (b) To what extent is a matrix organisational structure useful to an expanding business. [15]
4. (a) Explain the purpose of communication to an organisation of your choice. [10]
 (b) Assess the usefulness of Critical Path Analysis to a construction company. [15]
5. Evaluate the usefulness of marketing research to a business entering foreign markets. [25]
6. (a) Examine ways a business can use to increase capacity utilisation. [10]
 (b) Evaluate the appropriateness of vertical communication to the success of a business. [15]
7. (a) Justify the significance of an organisational structure to a business. [10]
 (b) Assess the appropriateness of Just In Time (JIT) method of stock holding to a food outlet. [15]
8. Evaluate the importance of Information Communication Technology (ICT) to the Human Resource department of a business. [25]
9. (a) Analyse the benefits of effective management of working capital to a business. [10]
 (b) Discuss the importance of economic integration to businesses in your country. [15]
10. (a) Explain the importance of the Ansoff Matrix in designing marketing strategies. [10]
 (b) To what extent are multinational companies (MNCs) significant to Zimbabwe. [15]